the sidewalk but didn't bother to pick it up, because if it were real someone else would have already grabbed it. Value investors are always on the hunt for that proverbial $20 bill—skeptical about its existence, but ready to pounce when it's found.

With elegant theories that purport to explain the real world, academics sometimes oversimplify and in so doing misunderstand it, because they rely on questionable assumptions regarding the existence of continuous markets, the presence of rational actors, the availability of perfect information, and zero transaction costs. One such theory, the Efficient Market Hypothesis, holds that security prices are always efficient, reflecting all available information about that security, an idea deeply at odds with Graham and Dodd's notion that there is great value in fundamental security analysis. Another academic concept, the Capital Asset Pricing Model, relates risk to return, but it always conflates market-correlated volatility, or beta, with risk. Modern Portfolio Theory applauds the benefits of diversification in constructing an optimal portfolio. But by insisting that once a portfolio is fully diversified higher expected return comes only with greater risk, MPT effectively repudiates value investing as a viable investment philosophy despite its long-term record of risk-adjusted investment outperformance.

Thanks to these theories becoming academic dogma, generations of students have been taught that security analysis is worthless and that they must prioritize portfolio diversification, allocating capital away from their best ideas (because in efficient markets there can be no good ideas) and spreading it into mediocre or poor ones. The very market inefficiencies that introductory finance textbooks brush away provide the opportunity for value investors to earn outsized returns over time.